Skill or Exposure? Performance Attribution of Fidelity Contrafund

Investment Research Portfolio · Project 8 · Returns-based 2011–2026 and holdings-based (Brinson-Fachler) 2025

Summary

Fidelity Contrafund (FCNTX) returned 17.0% a year from October 2011 to September 2026, 1.5% a year more than the S&P 500 (IVV), with a 5.2% tracking error and an information ratio of 0.27. Once its factor exposures are accounted for, the evidence for skill is weak: the alpha from a Fama-French five-factor plus momentum regression is 0.73% a year with a t-statistic of 0.78. The fund is a large-cap growth portfolio (negative size, value and investment loadings) with a momentum tilt. In calendar year 2025 the fund beat IVV by 3.91% (21.76% vs. 17.85%). A holdings-based Brinson-Fachler attribution from the fund's quarterly N-PORT filings explains a buy-and-hold excess of 5.12%: selection +529 bp, allocation +214 bp and interaction -232 bp. The fund's private stake in SpaceX was its single largest contributor. Under the rule set in advance (skill only if six-factor alpha is positive with t > 2 and selection is the largest Brinson effect), the verdict is **exposure**: 2025's selection was real, but fifteen years of returns do not show statistically reliable alpha.

1. Data

- **Returns:** FCNTX and IVV daily adjusted closes (distributions reinvested) from yfinance, converted to monthly total returns, October 2011 – September 2026. Factor regressions end in August 2026, the latest month in the Kenneth French Data Library (Fama/French 5 Factors 2x3 and Momentum).
- **Holdings:** Form N-PORT-P filings on SEC EDGAR for Fidelity Contrafund (series S000006037) and iShares Core S&P 500 ETF (series S000004310) at 31 Dec 2024, 31 Mar, 30 Jun and 30 Sep 2025, plus Contrafund's 31 Dec 2025 filing to value private holdings over the fourth quarter. Net assets: FCNTX 2024-12-31 $153bn, FCNTX 2025-09-30 $176bn.
- **Security returns:** holdings identified by ISIN, mapped to exchange tickers with OpenFIGI (with manual tickers for a few unmapped names, listed in data/manual_ticker_overrides.json) and priced with yfinance total-return closes in USD. Holdings with no market price (mainly private companies such as SpaceX) are valued with the fund's own fair values per unit from consecutive N-PORT filings. Cash and money-market funds earn the 3-month T-bill (FRED TB3MS).
- **Sectors:** the yfinance sector field for every stock, applied identically to both portfolios. Private holdings form their own bucket; the benchmark has none.
- **Fees:** total annual operating expenses of 0.74% for fiscal 2025 (management fee 0.73%, performance-adjusted, plus 0.01% other), from the summary prospectus filed on EDGAR on 27 February 2026.

2. Part A — returns-based analysis, 2011–2026

Model	Alpha /yr	t(α)	Mkt-RF	SMB	HML	RMW	CMA	Mom	R²
CAPM	1.65%	1.11	0.97 (30.9)						0.88
FF3	1.16%	1.18	0.99 (42.9)	-0.14 (-3.3)	-0.22 (-8.0)				0.93
FF5 + Mom	0.73%	0.78	1.00 (41.7)	-0.12 (-2.5)	-0.14 (-3.9)	0.03 (0.6)	-0.14 (-2.5)	0.10 (3.6)	0.94

Table 1. Regressions of FCNTX monthly excess returns, Oct 2011 – Aug 2026 (179 months); Newey-West t-statistics (3 lags) in brackets. As a check, the same six-factor model gives IVV an alpha of -0.12% and a market beta of 0.988.

The CAPM alpha of 1.65% a year shrinks to 0.73% once size, value, profitability, investment and momentum are included, and none of the alphas is statistically significant. The loadings describe a large-cap (SMB

-0.12) growth (HML -0.14, CMA -0.14) portfolio with a momentum tilt (Mom 0.10, t = 3.6). These are exposures an investor could buy cheaply through factor or growth indices.

Oct 2011 – Sep 2026	Value
FCNTX annualized return	17.03%
IVV annualized return	15.57%
Excess return (geometric)	1.46%
Tracking error	5.20%
Information ratio	0.27
Up-capture (126 up months)	102%
Down-capture (53 down months)	96%

Table 2. Relative performance vs. IVV.

Contrafund captured 102% of IVV's gains in up months and 96% of its losses in down months, an asymmetric profile that produced the excess return. Rolling 36-month six-factor alphas (Figure 1) swing between about –2% and +6% a year and were highest in 2024–2026, when the fund's concentrated technology and private holdings paid off.

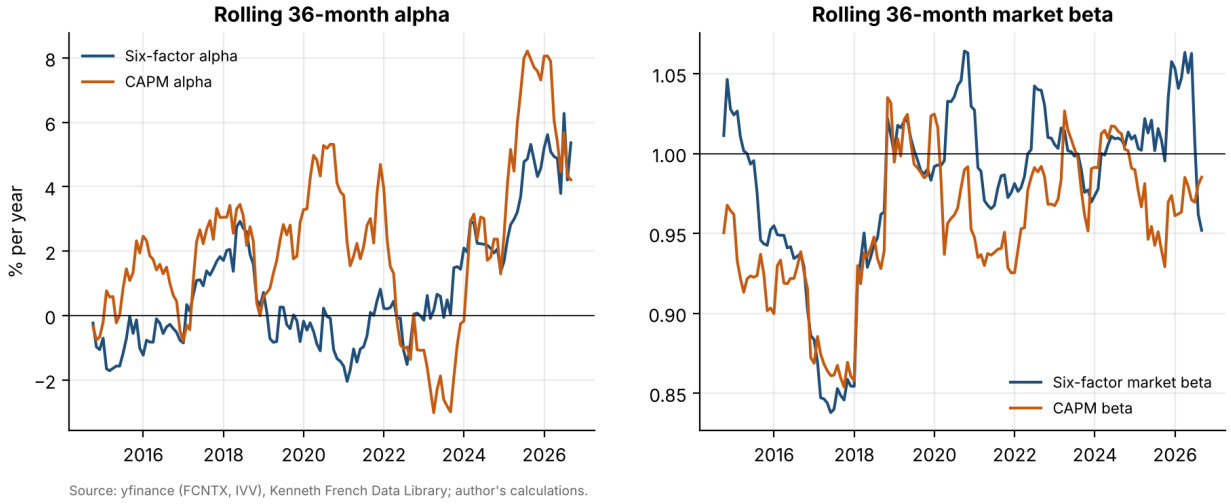


Figure 1. Rolling 36-month alpha (six-factor and CAPM) and market beta.

3. Part B — holdings-based attribution for 2025

3.1 Method

For each quarter of 2025 I hold the starting N-PORT holdings of both portfolios unchanged and value them at the end of the quarter. Sector returns are value-weighted returns of the holdings in each sector. The Brinson-Fachler (1985) decomposition splits the excess return in each sector into **allocation** $(w_p - w_b)(R_{b,s} - R_b)$, **selection** $w_b(R_{p,s} - R_{b,s})$ and **interaction** $(w_p - w_b)(R_{p,s} - R_{b,s})$. The four quarterly results are linked into a 2025 total with Cariño's (1999) logarithmic smoothing, which makes the effects add up exactly to the annual excess return.

Quarter	FCNTX: market price	FCNTX: N-PORT fair value	FCNTX: T-bill (cash)	FCNTX: no price	IVV: market price	IVV: N-PORT fair value	IVV: T-bill (cash)	IVV: no price
Q1 2025	94.5%	3.4%	2.1%	0.2%	99.2%	0.5%	0.8%	0.0%
Q2 2025	93.2%	3.3%	3.2%	0.5%	99.2%	0.5%	0.7%	0.1%
Q3 2025	94.6%	3.1%	2.0%	0.3%	99.4%	0.3%	0.7%	0.2%
Q4 2025	95.6%	3.2%	1.1%	0.5%	99.6%	0.0%	0.5%	0.2%

Table 3. Share of each portfolio's starting value by valuation source. 'No price' holdings (acquired or delisted companies without a Yahoo price history) are left out and the remaining weights rescaled.

Buy-and-hold reproduces IVV's actual 2025 return closely (17.73% vs. 17.85%), which validates the price data and the method.

3.2 Results

Sector	Allocation	Selection	Interaction	Total
Private / unlisted	-17	+7	+233	+223
Technology	-80	+296	-104	+111
Industrials	-6	+111	-36	+69
Consumer Defensive	+47	+14	-8	+53
Real Estate	+26	+82	-78	+31
Financial Services	-13	+37	+4	+29
Basic Materials	-0	+42	-14	+28
Utilities	+1	+100	-73	+28
Unclassified	+23	-1	+1	+23
Energy	+19	+5	-3	+21
Consumer Cyclical	+8	-23	+4	-11
Healthcare	+2	-32	+2	-28
Cash	-30	+0	+0	-30
Communication Services	+234	-110	-160	-36
Total	+214	+529	-232	+512

Table 4. Brinson-Fachler attribution by sector, 2025, Cariño-linked, basis points of excess return.

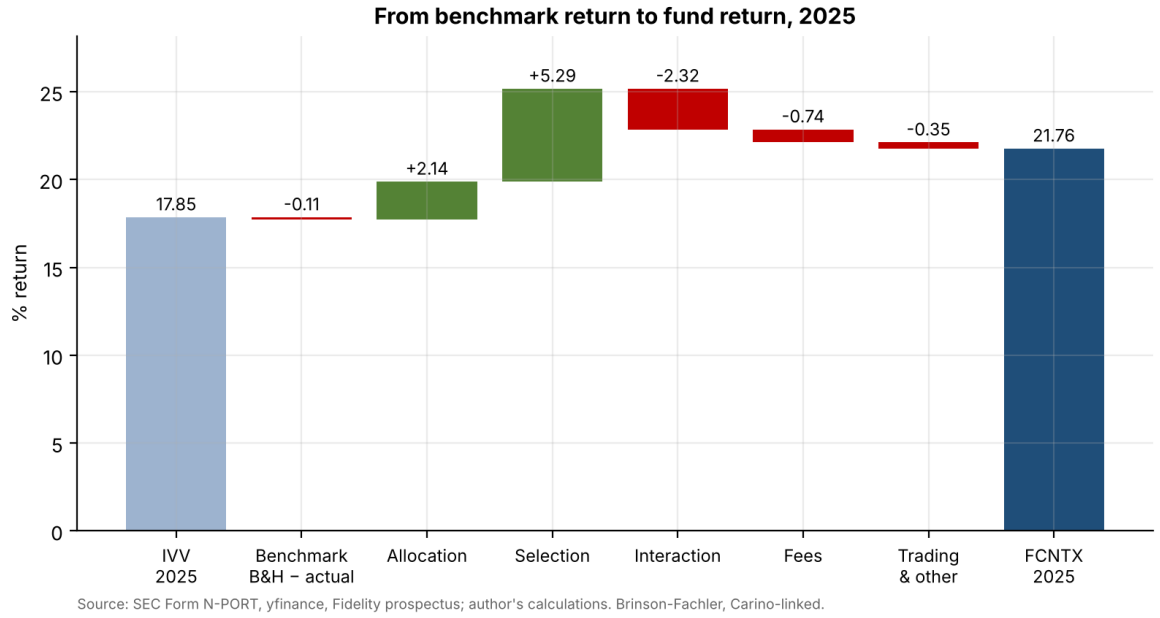


Figure 2. From IVV's 2025 return to Contrafund's.

Selection is the largest effect (+529 bp), driven by technology (+296 bp), industrials (+111 bp) and utilities (+100 bp). **Allocation** added +214 bp, mostly from the overweight in communication services (+234 bp). **Interaction** was -232 bp: positive in private companies (+233 bp, a sector the benchmark does not hold) and negative where the fund was overweight a sector but owned its weaker names, notably communication services (-160 bp: Meta, the fund's largest holding, returned 13% in 2025 against 66% for Alphabet).

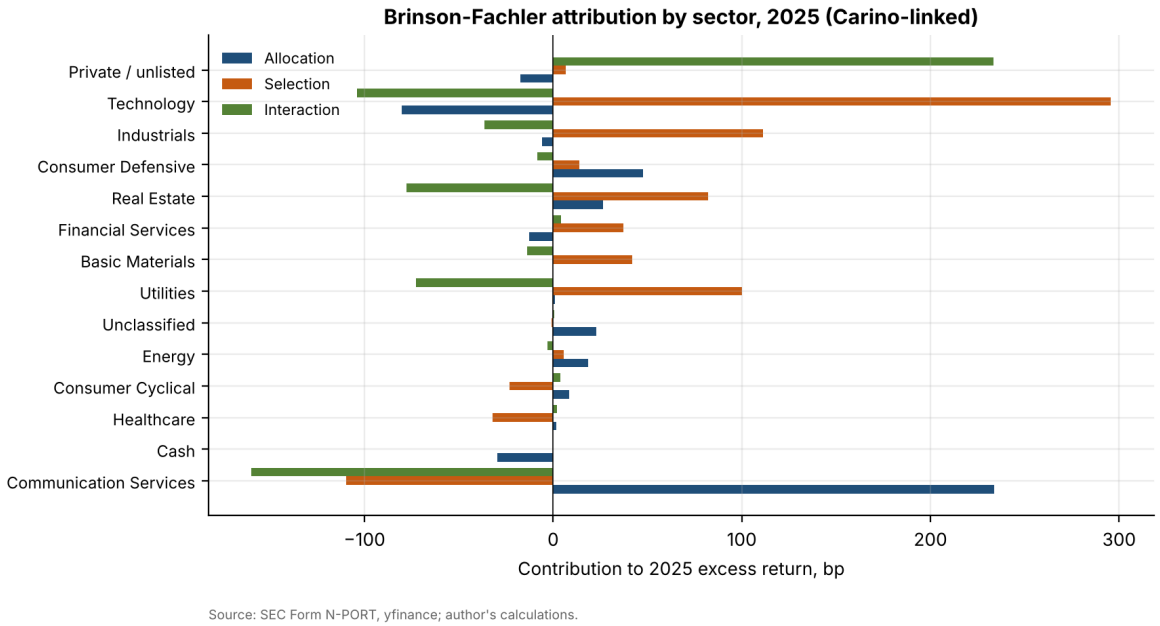


Figure 3. Attribution effects by sector.

3.3 The residual: fees and trading

Item	2025
FCNTX actual total return	21.76%
Buy-and-hold estimate	22.85%
Residual	-1.09%
of which fees (0.74% expense ratio)	-0.74%
of which intra-quarter trading and other	-0.35%

Table 5. Reconciling the buy-and-hold estimate with the fund's actual return.

The actual return was 1.09% below the buy-and-hold estimate. Fees explain 0.74 points. The remaining 0.35% reflects trades within quarters, securities lending, cash flows and holdings left out for lack of prices. That is consistent with intra-quarter trading adding little or nothing in 2025, though the figure mixes several effects.

3.4 Top contributors and detractors

Issuer	Contribution	Avg. active weight
SPACE EXPLORATION TECHNOLOGIES CORP	+181	1.8%
Amphenol Corp.	+122	1.9%
GE Vernova, Inc.	+41	0.7%
NVIDIA Corp.	+34	1.6%
GE Aerospace	+33	0.6%
COREWEAVE INC	+30	0.0%
Apple, Inc.	+26	-4.0%
Procter & Gamble Co.	+23	-0.7%
Fiserv, Inc.	+19	-0.2%
TAIWAN SEMICONDUCTOR MFG CO LTD	+18	0.5%

Table 6. Ten largest contributors to 2025 excess return (bp). Contribution = Σ quarters of (active weight × (stock return – benchmark return)), Cariño-linked; share classes of the same issuer are combined.

Issuer	Contribution	Avg. active weight
Berkshire Hathaway, Inc.	-42	6.7%
Micron Technology, Inc.	-41	-0.2%
Cash (Fidelity Cash Central Fund)	-37	2.1%
Palantir Technologies, Inc.	-37	-0.5%
Amazon.com, Inc.	-33	2.4%
Broadcom, Inc.	-33	-1.1%
Meta Platforms, Inc.	-33	13.6%
Regeneron Pharmaceuticals, Inc.	-22	0.6%
Advanced Micro Devices, Inc.	-22	-0.4%
Johnson & Johnson	-21	-0.8%

Table 7. Ten largest detractors (bp).

SpaceX, held through private preferred shares valued by Fidelity, contributed +181 bp, more than any listed stock. Amphenol was the best listed contributor. The detractors show the cost of concentration: a large overweight in Berkshire Hathaway, which returned 11% against 18% for the index, and underweights in Micron (+240%), Palantir (+135%) and Broadcom (+51%). Meta, at about 14 points overweight, detracted modestly. The fund's average 2% cash holding cost -37 bp in a rising market.

4. Conclusion

The pre-set rule calls Contrafund's results **exposure**. Over fifteen years its outperformance is explained by a stable large-cap growth and momentum profile; the six-factor alpha of 0.73% a year is not distinguishable from zero (t = 0.78). In 2025 the holdings-based attribution does credit the managers with genuine selection, +529 bp, the largest of the three effects, but one strong year, much of it from a single private company, is not proof of persistent skill. An investor holding Contrafund is mostly buying a growth/momentum tilt plus a modest, noisy selection effect, at a performance-adjusted fee that rose from 0.56% (fiscal 2024) to 0.74% (fiscal 2025) after strong results.

Limitations

- Buy-and-hold quarters ignore trading within each quarter; the residual captures it only in total.
- Private holdings are valued at Fidelity's fair values, which are estimates and are updated infrequently.
- Yahoo sectors differ from GICS. A handful of acquired or delisted companies without price history are left out (up to 0.5% of the fund); remaining weights are rescaled.
- The fee is applied as a uniform annual drag; the actual performance adjustment accrues over the year.

References

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